Q4 Labour Account: jobs growth moving past its trough

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By Ryan Wells
Economist, Westpac

16:45 March 06 2026

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Over 2025, the slowdown in jobs growth was dominated by a pull-back in hiring efforts across the care economy. This dynamic has largely normalised, and with the market sector showing a stronger pulse, it looks as though jobs growth is starting to move past its trough.

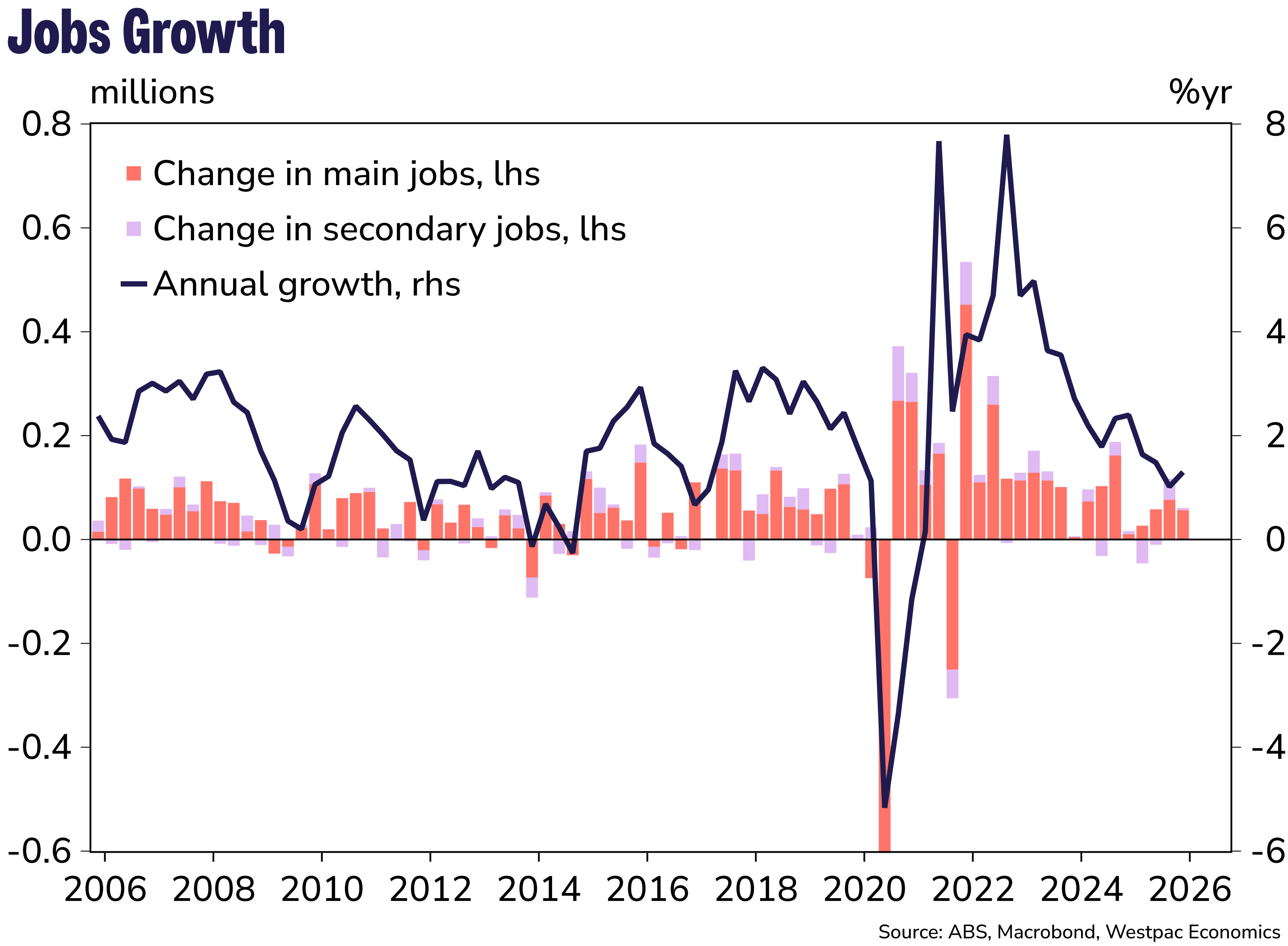
For more charts and industry comparisons: **Westpac Chart Pack – Q4 Labour Account**

Overview

Following a meagre lift of +29k over H1 2025, the number of filled jobs increased by +117k in Q3 and a further +61k in Q4. Recent data revisions have also made the step-up over 2025 more apparent, with H1 revised lower while Q3's gain was revised up further. Annual jobs growth lifted from its weakest pace since 2017 excluding the pandemic, up from 1.0%yr to 1.3%yr.

Jobs growth in the care economy has cooled considerably from a monumental hiring effort over recent years. At the same time, the market sector is staging a steady recovery. As consumer spending started to lift over 2025, consumer-facing services industries tended to outperform. More recently, with signs of the economic recovery broadening, we are starting to see jobs growth lift across construction and business services segments. There will always be some level of difference between industries in any cycle, but the stark contrasts that defined much of 2024 and 2025 – particularly between the care economy and market sector – look to have largely normalised.

As is typically the case, jobs growth in the quarter was almost entirely confined to 'main jobs', which rose +56k (0.4%) in Q4. Growth in 'secondary jobs' tends to be a bit more volatile, but in the latest quarter, it was proportionally similar, up +4k (0.4%). Given this relative stability, the multiple job holder once again remained fairly stable at 6½%, a bit lower than the 6.7% peak in 2023 but still well above the pre-pandemic average of 5.7%.



Industry Insights

Jobs growth in **health care and social assistance**, the largest employer in Australia which represents around 16% of all jobs, continues to show signs of normalisation. Over 2022-24, jobs growth was running at an unprecedented 7½% average annual rate, owing to the intense hiring effort across childcare, disability care and aged care services. This dynamic has since cooled notably and jobs growth in this industry has pulled back to 1.0%yr. This is slightly above the 'troughs' in earlier hiring cycles, so while some further softening is possible from here, it is unlikely to be sustained – based on previous cycles, we are more likely to see a steadying or a return to more moderate growth.

Across the rest of the non-market sector, jobs growth has followed a broadly similar trend, albeit not on as extreme of a scale as health care and social assistance. Jobs growth in **education and training** has eased back to around 1.7%, similar to the pace just prior to the pandemic. Within **public administration and safety**, however, jobs growth has bounced back a bit more firmly from weaker prints earlier in 2025 (2.6%yr).

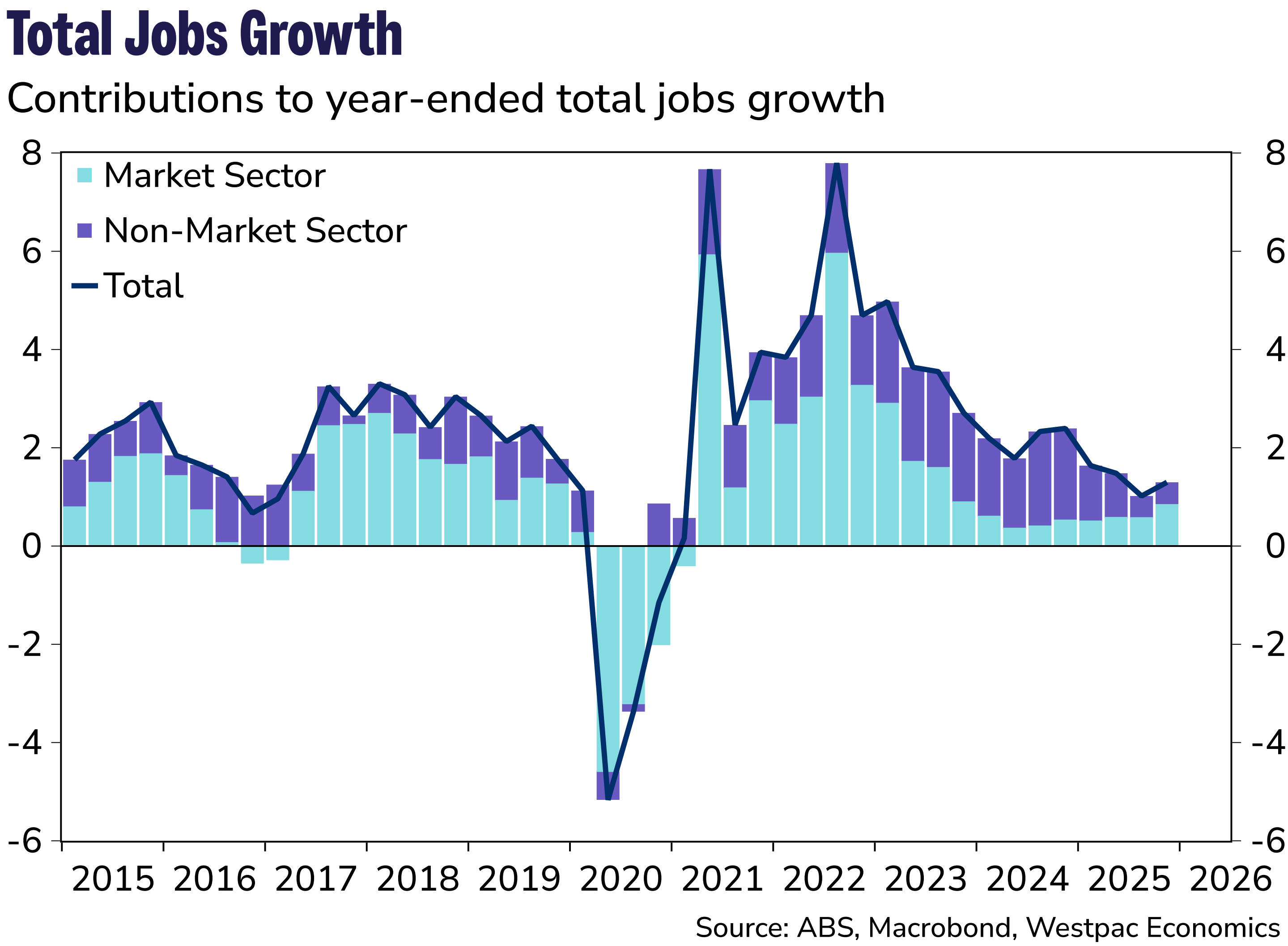
Meanwhile in the market sector, the steady recovery in jobs growth looks to have kicked up a gear, in line with official evidence pointing to a pick-up in private demand. There is a diverse set of industry narratives underneath the broader market sector trend, however.

Industries that are services-oriented and more directly exposed to the recovery in consumer spending are leading the pack. Earlier in 2025, **accommodation and food services** was the posterchild as the industry transitioned from job shedding to expansion, with jobs growth now holding broadly steady at around 3.5%yr. More recently, jobs growth in **arts and recreation** has been in the spotlight, where annual growth has rebounded from –5.8%yr in Q1 to now 3.3%yr in Q4.

However, for those industries that are more goods-oriented, results are not as appealing. In **retail trade**, the Q3 gain in jobs was effectively wiped out in Q4, leaving annual growth in negative territory (–0.7%). Much of the recent weakness is concentrated in 'other' store-based retailing (excluding food and fuel), where headcount was dropped significantly after the Black Friday/Christmas period in 2024, and is yet to fully recover. This has had a link to weakness in **wholesale trade** too, where jobs growth remains deeply negative (–2.3%yr) and concentrated in 'other' goods wholesaling.

On the production side of the economy, jobs in the **construction** sector are continuing to rise at a solid pace (4.6%yr), bouncing back from declines in the latter half of 2024. Most gains have been in heavy and civil engineering and its associated construction services, corroborating the evidence of a broader uplift in infrastructure activity. The much smaller industry of **electricity, gas, water and waste services** has just posted its seventh consecutive quarter of jobs growth, aided mostly by electricity supply and, to a lesser extent, gas supply. However, we are wary that **manufacturing** remains particularly weak from a jobs growth perspective (–3.2%yr); while it is difficult to distinguish cyclical weakness from the multi-decade downtrend in manufacturing employment, our sense is that the latter is playing a more important role currently.

That notion is supported by a more constructive pick-up in jobs growth within the business services sector, suggesting the recovery in household spending is permeating more broadly throughout the economy. In the **professional, scientific and technical services** industry, 9.2k jobs were added in Q4, and with an earlier decline cycling out of the base of comparison, annual growth shot up to 2.2%yr, the strongest result in over a year. Virtually all of the jobs growth in this industry is being driven by computer system design and related services sub-industry – but without any extra detail, it is difficult to know which specific occupations are benefitting most. Jobs growth in **financial and insurance services** remains positive and sustained (1.5%yr) and encouragingly, both **administrative and support services** and **information media and telecommunications** have moved from a sustained period of sharp declines over 2024 and H1 2025 to modest gains (1.4%yr and 2.6%yr respectively).



Productivity

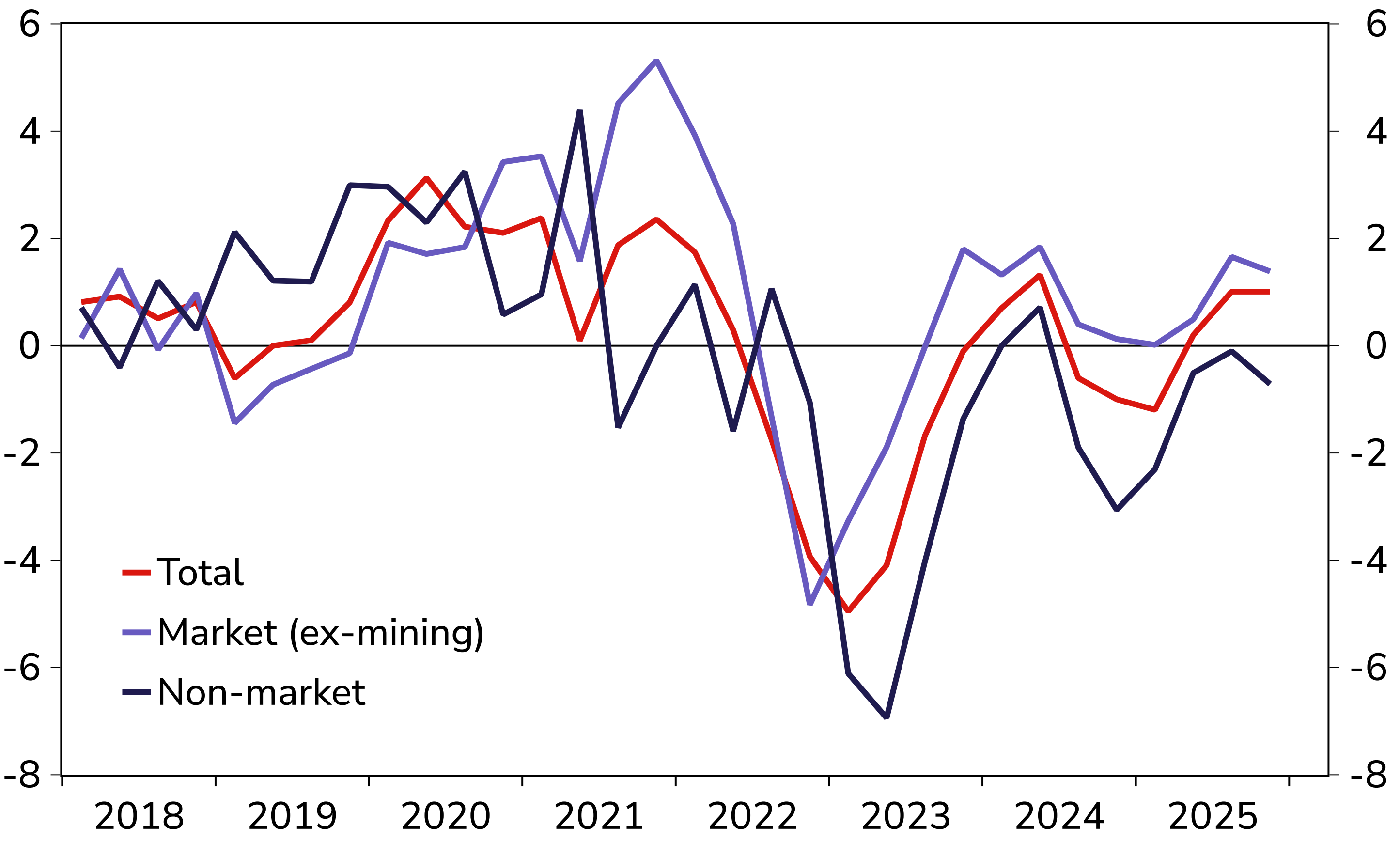
The Labour Account provides the complete industry detail on hours worked, allowing us to compare labour productivity performances across sectors. As noted in our summary of the national accounts (see here), growth in total labour productivity was revised up in Q3 from 0.8%yr to 1.0%yr, a pace that was sustained through to Q4. This is above the RBA's medium-term assumption of 0.7%yr.

The recent expansion in the non-market sector, particularly the care economy – a services-dominated industry which, on average, has a lower level of labour productivity compared to more capital-intensive and interest rate sensitive parts of the economy – has weighed significantly on aggregate labour productivity growth in recent years. Significant swings in mining sector productivity have been an additional complication, masking the underlying productivity performance for the market sector as a whole.

After accounting for these dynamics, we find that the labour productivity (in the non-mining market sector) is growing at an even higher pace of 1.4%yr, well above the sluggish period that defined the late 2010s where the average growth rate was closer to 0.3%yr. This, together with a further moderation in the sector’s unit labour cost growth to 3.1%yr, paints a more constructive signal on supply capacity and cost pressures.

Productivity by sector

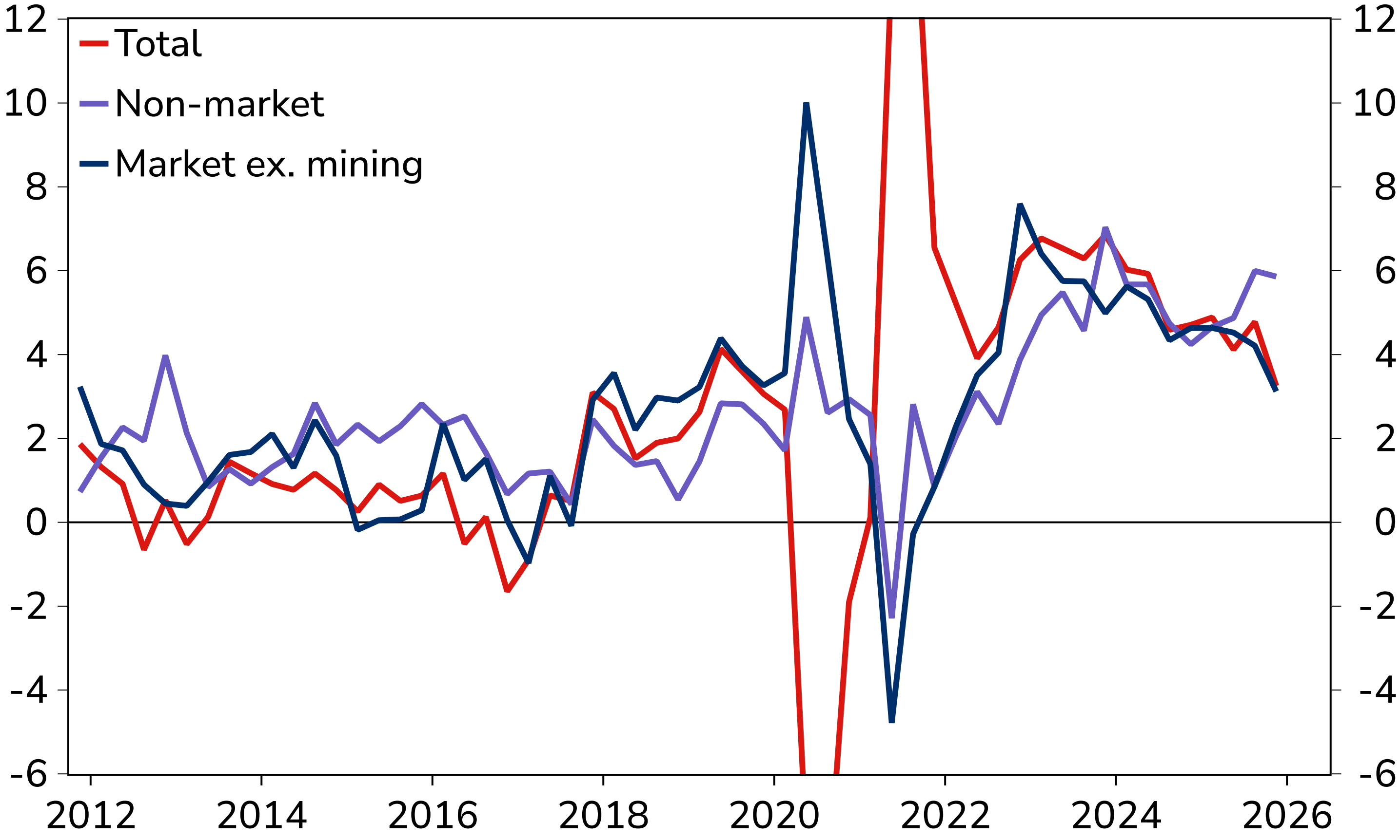
Year-ended percentage change



Source: ABS, Macrobond, Westpac Economics

Unit labour costs by sector

Year-ended percentage change



Source: ABS, Macrobond, Westpac Economics

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